Novia One.

FMP · MODULE 4

OCCUPATIONAL CERTIFICATE · FINANCIAL MARKETS PRACTITIONER

Equity Securities, at a glance.

A condensed, exam-ready reference for tomorrow's class. Covers all three chapters — **Introduction to Equity Securities**, **Equity Issuance**, and **Equity Valuation: Concepts & Basic Tools** — with the definitions, formulas and distinctions you are most likely to be tested on.

Equity capital = the **share capital** of a company — ownership, not a loan. **Capital structure** is the mix of **debt and equity** a firm uses to fund operations and finance assets. Managers trade the two off to find the **optimal capital structure**.

Four shareholder rights

- Share in the company's **profits** (dividends)
- Share in **assets on liquidation** (residual claim)
- **Appoint directors** of the company
- **Vote** at shareholder meetings

Role of equity in the economy

- **Capital raising** — fund expansion & R&D
- **Ownership alignment** — owners ↔ managers
- **Investor participation** in company growth
- **Risk distribution** across many investors

Advantages of equities

- Strong **long-term returns** (beat cash & bonds)
- **Global exposure** via multinationals
- **Inflation proofing** over long horizons
- **Income** from dividends (not guaranteed)
- **Tax/estate planning** — TFSA, endowment, RA

Disadvantages · who & when

- **Volatility** — price can fall below cost
- Take a **10-year view**; not for <5-yr money
- Best in **inflation, rising activity, low rates**
- Suits investors with a **long time horizon**

TYPES OF EQUITY SECURITIES

TYPE	KEY IDEA	WATCH-OUTS
Common (ordinary)	Predominant equity security: ownership, residual claimant, governance (voting), share in profits.	Dividends **not obligatory**; last in line on liquidation.
Preferred	Fixed dividend, generally higher than common; ranks ahead of common; can be perpetual, callable or putable.	Dividends **not a contractual obligation**.
Private equity	Equity in companies not publicly traded (VC, LBOs).	Illiquid; long holding periods.
Public equity	Shares listed and traded on an exchange.	Subject to listing rules & disclosure.
Foreign	Direct investing, or indirect via **Depository Receipts** & Global Registered Shares.	FX gains/losses; DRs carry no votes.

Common equity — voting

Vote on board members, mergers/takeovers, outside auditors. Can vote by **proxy**.

- **Statutory:** up to your share-count per director.
- **Cumulative:** pool all votes onto chosen candidates — protects **minorities**.

Preferred — dividend flavours

- **Cumulative** vs **Non-cumulative**
- **Participating** vs **Non-participating**
- **Convertible:** swap into a set number of common shares (ratio fixed at issue) — popular in VC/PE.

Depository Receipts (DRs)

A negotiable instrument issued by a **bank** representing an interest in a foreign company, trading on a domestic exchange like a common share. **Not** issued by the company → raise no capital for it. Lower cost than buying the foreign stock directly. Called **GDRs** globally, **ADRs** in the US. **No voting rights** (those rest with the bank).

Holding Period Return (HPR)

$$R = \frac{(\text{EV} - \text{BV}) + D}{\text{BV}}$$

EV = ending value, BV = beginning value, D = dividends. Also: annualised HPR, arithmetic & geometric mean. Other return sources: FX gains/losses, reinvested dividends.

Risk

- Based on the **uncertainty of future cash flows**.
- More uncertainty → more risk → more volatile price.
- Risk = uncertainty of **expected total return**.
- Historical **average return & std dev** proxy future return & risk.

Market value vs Book value

- **Market value** (market cap) = investors' expectations of the amount, timing & probability of future cash flows. Management affects it only **indirectly**.
- **Book value** = Total Assets − Total Liabilities (historical). Rarely equals market value.

Accounting Return on Equity (ROE)

$$ROE = \frac{NI}{\text{avg shareholders' equity}}$$

Avg equity = (SE_t + SE_{t-1}) / 2. Worked: 10 150 000 ÷ ((49 445 000 + 65 500 000)/2) = **17.66%**. Higher ROE → better internal cash generation.

Primary vs Secondary markets

- **Primary:** new shares issued, capital raised by the company (IPO, SEO).
- **Secondary:** existing shares traded between investors; no new capital to the firm.

Listed vs Unlisted shares

- **Unlisted** trade OTC via market makers/dealers.
- Riskier: no FMA protection, no formal market, pricing & liquidity risk, higher business risk.

South African stock exchanges

Exchanges **match buyers with sellers** and ensure trades are **cleared/finalised** at a clearinghouse.

EXCHANGE	DIFFERENTIATOR
JSE	Est. 1887; ~354 listings; the primary licensed exchange for IPOs; settles T+3.
ZAR X	Faster settlement — **same-day** vs JSE's T+3; targets unlisted cos.
A2X Markets	Secondary listings of JSE companies (Naspers, Standard Bank, Sanlam).
4AX	Targets unlisted companies.
EESE	Attracts **empowerment** companies.

JSE listing — boards & principles

- **Main Board** + **AltX** (lighter criteria, smaller/dev companies; subscribed capital ≥ R2m).
- Must comply with the **Companies Act** + **JSE Listings Requirements** (under the FMA).
- Issuer must be **suitable**; prompt disclosure; **fair & equal** treatment of same-class holders.

IPO · SEO · Dual listing

- **IPO:** first sale of shares to the public (price-setting needed).
- **SEO:** like an IPO but **no price-setting** step.
- **Dual listing:** same security on 2+ exchanges → more liquidity & capital (BHP, AB InBev, Richemont, Naspers, Anglo American).

CHAPTER 3 · EQUITY VALUATION — CONCEPTS & BASIC TOOLS

Going concern vs Liquidation

- **Going concern:** firm continues trading, uses assets for value maximisation, accesses optimal financing.
- **Liquidation:** firm dissolved; assets sold separately.

Intrinsic value (IV) vs Market price (MV)

- **IV** = value given full understanding of the asset; differs investor-to-investor.
- **IV > MV** → undervalued; **IV < MV** → overvalued.

The valuation process

- **Top-down:** economy → industry → company.
- **Bottom-up:** start with the company's fundamentals.
- Steps: understand the business → forecast → select model → convert to a value → apply.

Model families

- **Absolute / DCF:** DDM, FCFE, FCFF, Residual Income.
- **Relative:** price ratios (P/E, P/B, P/S), EV/EBITDA.
- **Asset-based:** NAV / FMV = total assets − total liabilities.

CHOOSING THE MODEL

- **DDM** needs a dividend-paying company with stable, predictable payments (mature firm).
- **FCFF/FCFE** when dividends are absent/irregular but free cash flows are positive & predictable.
- **Relative (P/E)** needs positive earnings; **asset-based** suits tangible-asset-heavy firms.

LIKELY EXAM TRAPS

- Preference dividends are **fixed but not contractually obligatory** — don't confuse with debt interest.
- **DRs carry no voting rights** (they sit with the bank) and raise **no capital** for the company.
- **Cumulative voting** protects minorities; **statutory** voting does not.
- **IV > MV = undervalued** (a common direction mix-up).
- Secondary-market trades raise **no new capital** for the issuer.